

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the)
Interstate Transmission System)**

Docket No. RM26-4-000

REPLY COMMENTS OF ONCOR ELECTRIC DELIVERY COMPANY LLC

The initial comments in the-above captioned docket offered a variety of perspectives on the substance of the large load interconnection reforms proposed in the Secretary of Energy’s advance notice of proposed rulemaking (“ANOPR”) and the authority of the Federal Energy Regulatory Commission (“FERC” or the “Commission”) under sections 201, 205, and 206 of the Federal Power Act (“FPA”) to implement those proposals. As Oncor Electric Delivery Company LLC (“Oncor”) explained in its initial comments, Oncor is an electric transmission and distribution utility that operates solely within Texas and is not a “public utility” under FPA section 201(e) subject to plenary FERC jurisdiction.¹ Oncor therefore takes no position at this time on the merits of the proposed reforms or the Commission’s authority under FPA sections 201, 205, or 206.

However, Oncor urges the Commission to reject the invitations from certain commenters to use this proceeding as a vehicle for unprecedented assertions of authority over the Electric Reliability Council of Texas, Inc. (“ERCOT”) and its members. The two commenters advancing this idea offered no legal or policy rationale for such a dramatic departure from the plain meaning of the relevant FPA provisions and established precedent.

¹ *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Comments of Oncor Electric Delivery Company LLC at 1 (filed Nov. 21, 2025) (“Oncor Initial Comments”).

FERC instead should ensure that any rule it issues in this proceeding recognizes ERCOT's independence, including by carefully defining key terms.

In keeping with the ANOPR's framing and legal arguments, most commenters presumed that any large load interconnection reforms the Commission may adopt in this proceeding would be based on the Commission's authority over public utilities under FPA sections 201, 205, and 206. As Oncor explained in its initial comments, any rule that relies on the Commission's authority over transmission and wholesale sales of electric energy in interstate commerce by public utilities under FPA sections 201, 205, and 206 should not apply to ERCOT or market participants operating solely within ERCOT that are not "public utilities" under FPA section 201(e) ("ERCOT Entities").²

However, two commenters suggested that federal large load interconnection reforms should apply more broadly to reach ERCOT. Chevron U.S.A., Inc. ("Chevron") "recommended that the Commission invoke its authority under section 215 of the FPA to 'create a separate co-located load interconnection process to expeditiously study and manage the coordinated interconnection of large loads co-located with generation facilities.'" ³ Chevron argued that "[t]he breadth of the Commission's jurisdiction under section 215 could be used to reinforce the legal basis of actions that the Commission may take in this proceeding," flagging that the Commission's reliability jurisdiction under section 215 "includes otherwise non-jurisdictional entities such as *entities in the Electric*

² *Id.* at 2-8.

³ *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Comments of Chevron U.S.A., Inc. at 9 (filed Nov. 21, 2025) ("Chevron Initial Comments") (quoting *PJM Interconnection, L.L.C.*, Docket Nos. EL25-49-001 *et al.*, Comments of Chevron U.S.A. Inc. at 4-5 (filed Apr. 23, 2025)).

Reliability Council of Texas, federal agencies, municipals, and rural cooperatives.”⁴ Additionally, the Texas Blockchain Council asked the Department of Energy (“DOE”) to “[e]ncourage FERC-jurisdictional [Independent System Operators and Regional Transmission Organizations] *as well as ERCOT* to establish a uniform, non-firm interconnection category for qualifying flexible loads.”⁵ The Texas Blockchain Council also highlighted the Southwest Power Pool’s recently proposed High Impact Large Load framework, arguing that it “enables ‘fast-track’ interconnection for large loads that agree to curtail when needed to preserve reliability” and contending that “Texas and ERCOT face similar pressures and would benefit greatly from a standardized pathway like this.”⁶

Neither of these comments offer any legal justification for the Commission or DOE to impose new large load interconnection processes on ERCOT or ERCOT Entities. The Texas Blockchain Council offers no statutory basis whatsoever for its requests regarding ERCOT. While Chevron is more specific in asking FERC to invoke its FPA section 215 reliability authority, Chevron provides no explanation for how that section could lawfully be used to impose a new co-located load interconnection process on entities—like ERCOT and ERCOT Entities—that are not “public utilities” subject to plenary FERC jurisdiction with respect to transmission and wholesale sales of electric energy in interstate commerce. Nor does Chevron grapple with the express limits of section 215 as they relate to large load interconnection policies.⁷

⁴ *Id.* at 9 & n.29 (emphasis added).

⁵ *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Comments of Stephen Graddy at 2 (filed Nov. 10, 2025) (filed on behalf of the Texas Blockchain Council).

⁶ *Id.* at 1.

⁷ *See* Oncor Initial Comments at 12 & n.35.

Indeed, the North American Electric Reliability Corporation (“NERC”) made clear in its initial comments in this proceeding that the scope of federal reliability authority under FPA section 215 “statutorily extends to Reliability Standards that provide for the reliable operation of the [bulk-power system] and is distinguished from the Commission’s jurisdiction regarding the transmission and sale of electric energy.”⁸ As Oncor explained in its initial comments, Oncor believes there may be value in NERC and FERC exercising their authority under FPA section 215 to address the impact of large loads on the reliable operation of the bulk-power system, including potentially through new registration categories or new or modified reliability standards.⁹ However, FERC’s authority over jurisdictional public utilities—not its section 215 authority—must be the foundation for any reforms FERC adopts regarding large load interconnection processes based on the justness and reasonableness of transmission service and wholesale sales of electric energy in interstate commerce.

Accordingly, FERC should reject Chevron’s request that it “invoke its authority under section 215” to “reinforce the legal basis of actions that the Commission may take in this proceeding.”¹⁰ Doing so would only cause confusion about the scope of the reforms and raise unnecessary legal challenges. Instead, as both Oncor and the National Rural Electric Cooperative Association flagged in their initial comments, the Commission should

⁸ *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Comments of the North American Electric Reliability Corporation in Response to Notice Inviting Comments at 2 (filed Nov. 21, 2025); *see id.* at 8 (emphasizing that “NERC’s reliability authority under section 215 is distinct from Commission jurisdiction on the sale and transmission of electric energy under Federal Power Act section 201(b)(1)”).

⁹ Oncor Initial Comments at 12.

¹⁰ Chevron Initial Comments at 9.

carefully define key terms (including “transmission system”) and avoid unnecessary references to provisions like section 215 that apply to entities that are not jurisdictional “public utilities.”¹¹

In addition to the lack of a legal basis, neither Chevron nor the Texas Blockchain Council identify any compelling policy rationales for stretching Commission authority in an unprecedented way to impose new large load interconnection requirements on ERCOT and ERCOT Entities. As highlighted in Oncor’s initial comments, independence from plenary FERC oversight is a key part of ERCOT’s unique regulatory model and allows for beneficial experimentation in policy implementation and market design.¹² This model has helped Texas emerge as a leader in establishing new regulatory paradigms for interconnecting and serving large load customers.¹³ Indeed, numerous commenters in this proceeding highlighted Texas’s policy innovations on this exact topic.¹⁴ Rather than

¹¹ See Oncor Initial Comments at 1-3, 11-13; *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000, Comments of the National Rural Electric Cooperative Association at 14-15 (filed Nov. 21, 2025) (arguing that, to achieve the ANOPR’s stated purpose of avoiding “‘*even arguably* affecting the States’ jurisdiction’ over the facilities excluded from Commission jurisdiction by section 201(b) of the FPA, Interconnections to the ‘transmission system’ should be defined by reference to the seven-factor test for ‘transmission facilities’ under section 201, not by reference to the ‘bulk power system’ under section 215”) (citations omitted).

¹² Oncor Initial Comments at 6-7, 14.

¹³ See *id.* at 14 & n.39.

¹⁴ See, e.g., Initial Comments in Docket No. RM26-4-000 from PJM Interconnection, L.L.C. at 10-11 (discussing ERCOT’s “connect-and-manage” construct); American Electric Power Service Corp. at 8-10 (same); Eolian, L.P., Attach. A at 9, 15 (same); Longroad Energy Holdings, LLC at 7 (same); Entergy Operating Cos. at 25 (discussing ERCOT’s 75 MW threshold for large loads); Shell Energy North America (US) L.P. at 4 (same); Industrial Customer Organizations at 27 (same); Bloom Energy Corp., Attach. at 2, 10, 22 (discussing Texas’s “Private Use Network” rules); Thermal Battery Alliance at 2 (same); L. Lynne Kiesling, Ph.D at 9 (same); Advanced Energy United at 27 (discussing ERCOT requirements for existing generators seeking to serve new large load); Base Power Co., Inc. at 4-5 (discussing ERCOT’s definition of “Controllable Load Resources”); EDF

disrupting established jurisdictional boundaries, FERC should ensure that any rule it promulgates in this proceeding continues the long tradition of respect for ERCOT's independence.

Oncor respectfully requests that the Commission consider these reply comments in contemplating the adoption of any rule in this proceeding.

Respectfully submitted,

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Power Solutions, Inc. at 14-15 (discussing ERCOT as a model for expedited studies of loads with less significant impacts on the transmission system); GridStor LLC at 2 (discussing ERCOT's voltage, curtailment, and frequency ride-through requirements for data centers).

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Washington, D.C. this 5th day of December, 2025.

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